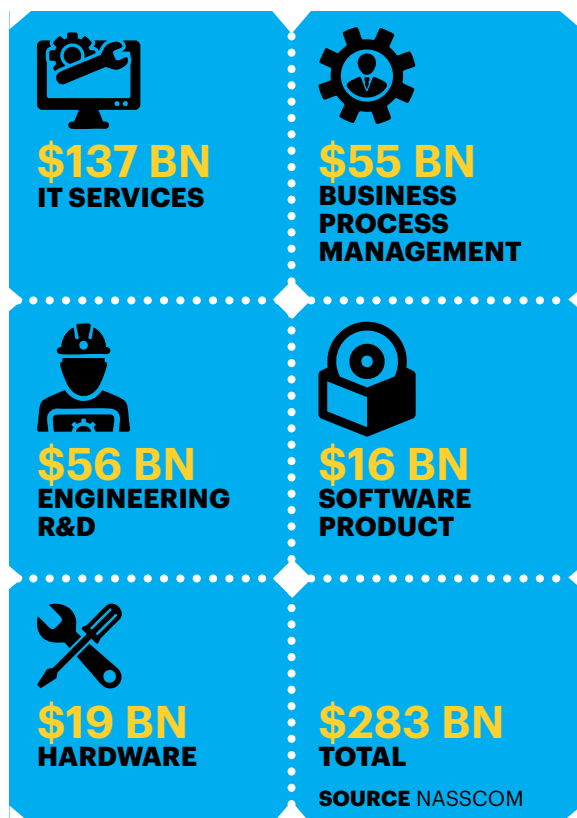


THE TECH SPACE



be paranoid and not become complacent. “That is the way we can manage to keep up with what’s going on in the industry.”

The hike in visa fees by the US also sent a message to the domestic IT industry on the need for a reinvention. “First off, we need to create R&D centres in the US, followed by near-shore centres. The third piece is to embrace AI in a much bigger way, and finally, like what Zoho did, we must create more products that are made in India,” says C. P. Gurnani, Co-Founder and Vice Chairman, AIONOS.

TCS’s Krithivasan said they were looking to stay ahead by investing in AI research and innovation centres in key geographies. “These are collaborative spaces where our teams and clients work to build solutions, rapidly prototype ideas, and deploy industry-specific AI capabilities at speed. This ensures our innovations are context-rich, relevant, and immediately deployable,” he said.

ACCORDING TO INDUSTRY insiders, the IT services business has historically been about “revenue per employee minus cost per employee.” Over time, clients struggled to recognise the company’s distinctive strengths. “It began to get commoditised, leading to revenue dropping and costs increasing. Once the entry barriers disappeared, the situation became extremely challenging,” says a top official. Margins came under pressure, and a lot of time went into cost reduction. “Entry-level salaries hardly moved, and getting high-quality talent was even tougher,” he adds.

Business Today reached out to TCS, Wipro, Infosys and HCL Technologies. However, they declined to comment.

Another challenge to the IT sector has been the rise of GCCs. “Every company is a tech company today,” says Shalini Sankarshana, Managing Director, India, Planview, a platform for strategic portfolio management and digital product development. These centres have evolved over the last 20-30 years from just providing technology support to running operations out of India. “We have moved away from a captive or BPO scenario to becoming centres of excellence. Now, we are a part of a US parent and integral to their operations.” This is taking business away from the IT sector.